FROM THE
EDITOR-IN-CHIEF

Someone sits with a degree but no job, or with a mismatched job. Somewhere else, a job finds no qualified takers. Multiply this by millions and you realise the scale of the puzzle India is dealing with. We have far more college-educated youth than before as a share of our population: 63 million in the 20-29 age group. Yet, unemployment in this cohort is 23 per cent. It's a growing chasm that flows from one feature of our college education structure: it's heavily concentrated towards producing generic degrees, rather than those with any domain-specific value. Of our 34 million undergraduate students, over 20 million are pursuing a plain-vanilla degree, a BA, BSc or BCom. Half of them are in BA. Result: only 8.25 per cent of graduates work in jobs that have anything to do with their education. Take the young tailor in our case studies, a graduate who lapsed back into his father's vocation to make ends meet. He sits at one end of a mammoth education pipeline that, for him and millions like him, leads nowhere. We are the world's fastest-growing big economy, but we don't produce what that economy needs: 82 per cent of Indian employers say they struggle to find skilled talent. Graduate employability was recently pegged at 42.6 per cent. Over half of what the model is producing is waste for everyone. We are calling it The Big Mismatch. It is nothing new. It is a decades-old failure that has been allowed to compound quietly while we congratulated ourselves on rising enrolment numbers.



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One missing link is particularly revealing. Only 4.1 per cent of Indians in the 15-59 age group have ever received formal vocational training. The segment attracted only about 3 per cent of our education outlay in 2021. Germany, Singapore and Canada spend 10-13 per cent. By 2022, over 8 million Japanese had a national skills certificate that qualified them for 132 distinct jobs across tiers, from welding and carpentry to hyper-modern skills in IT and finance. India flounders badly on this front. Our network of Industrial Training Institutes (ITIs) has quadrupled in size since 2005: we count 14,789 centres, 2.54 million seats. But only 48.2 per cent of those seats get filled. Teachers are similarly less than half, so are students who go on to get jobs. No surprise, since our ITIs, over 70 per cent of them private, sorely lag in updated courses that match emerging industrial needs. Our National Apprenticeship Promotion Scheme (NAPS) is a non-starter, while apprentices form 2.7 per cent of Germany's workforce.

Beyond all these dismal numbers lies an uncomfortable social truth. The all-pervasive Indian attitude that privileges white-collar jobs and looks down upon anything 'manual' comes directly from old caste stigmas. It is not coincidental that 77.4 per cent of ITI students come from less privileged castes. For many of them, it is not an aspiration but a fallback, a fallback to social location rather than a path out of it. Until we reckon honestly with this, no amount of institutional reform will produce the cultural shift that vocational training requires.

Industry does not step up to fill the gap. Only 7.7 per cent of Indian firms provide formal training. They have little fiscal incentive "to manufacture their own employees", as TeamLease co-founder Manish Sabharwal puts it. They see it as an investment with literally 'runaway' returns: employees who take their training and leave. So, they prefer to complain about the talent shortage rather than help solve it. Ambala's once-thriving medical devices industry died out because the region stopped producing the people to keep it alive. That is what production dependence on an absent training ecosystem costs in practice. The demand picture makes the supply failure look increasingly disastrous. By 2031, India is projected to face a manpower shortage of 3.1 million in skilled-trades, construction and infrastructure, 600,000 in nursing and allied fields, and 946,000 in tourism and hospitality. These are not marginal sectors. They are the physical and human infrastructure of a growing economy.

The plain degree question sits at the centre of all this. What exactly does a BA qualify you for in 2026? It is a question India has never much confronted because, for decades, a degree of any kind represented the breakout for the aspiring classes, the key to upward mobility, the proof that you had crossed a threshold. That symbolism is understandable and historically important. But the symbol has become detached from the reality it once pointed to. A graduate with two skill-based diplomas makes tea in Lucknow today. That is not a metaphor. It is a case study in our cover story this week.

Senior Associate Editor Sonal Khetarpal has run a full diagnostic on this problem, from symptoms through causes to solutions. The ITI network, reformed and properly resourced, could become precisely the fuel injection pump India's economy needs, with an expanded palette of courses answering present industrial needs, hyper-local demand and emerging sectors, including our booming services economy.

For too long, India has celebrated the white-collar job while undervaluing skilled hands. Yet every advanced economy is built by both knowledge and craftsmanship. Our own tradition recognised that. In Indian mythology, Vishwakarma, the divine architect, created the universe not with a degree, but with skill. India's demographic dividend will not be realised by producing more graduates but by producing more people who know how to build, repair, design, heal, create and solve. That is the education revolution that a fast-modernising country now needs.

(Aroon Purie)